

Canada Bread Company, Limited

Interim Report to Shareholders

for the **First Quarter** ended March 31, 2009

Report To Shareholders
Management's Discussion and Analysis

Results of Operations

Sales for the first quarter increased 7.9% to $413.1 million compared to $382.9 million in the same period last year. Excluding acquisitions, sales for the first quarter increased by 5.3%, primarily due to the full effect of prior year price increases to offset escalating input costs.

Earnings from operations before restructuring and other related costs and other income ("Adjusted Operating Earnings") for the quarter increased by 9.2% to $21.4 million due to margin recovery in the North American Fresh and Frozen Bakery businesses. Price increases implemented in the first half of 2008 combined with improved product mix were the main reasons for this margin recovery in the quarter. Margins, however, were not fully restored to historic levels as the weakening Canadian dollar impacted the price of wheat. Additionally, packaging and other ingredient costs also increased compared to last year.

Basic Earnings per Share adjusted for the impact of restructuring and other related costs ("Adjusted EPS") for the quarter increased by 16.5% to $0.60 compared to $0.52 last year. Following is a summary of net earnings and Adjusted EPS:

($ millions)	First Quarter		
	2009	2008	Change
Net Earnings	**$ 14.9**	$ 12.2	21.9 %
Restructuring and other related costs (i)	**0.4**	0.9	(56.0)%
Net earnings before restructuring and other related costs (i)	**$ 15.3**	$ 13.1	16.5 %
Adjusted EPS (ii)	**$ 0.60**	$ 0.52	16.5 %

(i) *Includes impact of restructuring and other related costs, net of tax.*

(ii) *Not a recognized measure under Canadian GAAP. Management believes that this is the most appropriate basis on which to evaluate results, as restructuring and other related costs are not representative of continuing operations.*

Economic Downturn

The current economic downturn has the potential to impact the Company's financial results positively or negatively depending on consumer behaviour and the effects on commodity prices. For example, there is a risk that consumers may trade down in their purchases from higher margin specialty products to lower margin staple products and the Company may experience an overall volume decline. On the other hand, there has been a recent trend among consumers to eat less frequently away from home. This trend could benefit the Company. Although the Company has experienced some decline in the sales of specialty items in its U.K. bakery operations that can be partly attributed to the difficult economic environment, Management is currently not able to predict whether the economic downturn will have a material effect on the Company's results of operations in future periods.

Business Segment Review

The following table summarizes Adjusted Operating Earnings by business segment:

($ millions)	First Quarter		
	2009	2008	Change
Fresh Bakery	**$12.8**	$ 12.7	1.0%
Frozen Bakery	**8.5**	6.9	24.5%
	$21.4(i)	$ 19.5(i)	9.2%

(i) *This table does not add due to rounding.*

Fresh Bakery *(Fresh Bakery products, sweet goods, sandwiches and specialty fresh pasta and sauces)*

Fresh Bakery sales in the first quarter increased 10.9% to $263.0 million compared to $237.2 million last year mainly due to price increases taken in the first half of 2008, favorable sales mix and acquisitions. Excluding acquisitions, sales in Fresh Bakery increased 6.6% to $252.9 million.

Adjusted Operating Earnings in the quarter increased 1.0% to $12.8 million compared to $12.7 million in the prior year. Pricing actions implemented early in 2008 in response to escalating input prices and better sales mix in Fresh Bakery operations and pasta business restored margins closer to long-term historical levels. However, the weakening of the Canadian dollar, which impacted the price of wheat during the quarter, mitigated the extent of this margin recovery along with increased packaging and other ingredient costs.

Fresh Bakery increased its investment in marketing and promotional activities in the first quarter of 2009 to support, among others, the national launch of Healthy Way® with ProCardio Recipe™ breads and fresh squares. Healthy Way® with ProCardio Recipe™ breads and fresh squares are the first line of Fresh Bakery products specifically targeting the heart health segment.

Frozen Bakery *(North American and U.K. frozen bakery products; including frozen par-baked and specialty bakery products)*

Frozen Bakery sales for the quarter increased by 3.1% to $150.1 million from $145.6 million in the same period last year, driven mainly by price increases implemented in North America in 2008.

Adjusted Operating Earnings in the quarter increased 24.5% to $8.5 million compared to $6.9 million in the first quarter of 2008. Higher earnings in the North American frozen bakery operations were driven by margin recovery due to price increases implemented in the first half of 2008 and operational efficiencies driven by lower fuel and distribution costs. In addition, the closure of the bagel facility in Toronto, Ontario, in late 2008, and the transfer of the bagel production to Roanoke, Virginia in 2009, contributed to overhead reduction and manufacturing efficiencies in the quarter. The Roanoke bagel line was commissioned during the first quarter of 2009 and Management is focused on achieving further efficiencies as the bagel line reaches planned production levels.

Earnings in the U.K. bakery operations declined in the quarter compared to last year, impacted by an unfavorable sales mix as the effect of the economic recession has been more pronounced in the U.K. than in the Company's other operations. Also, increased features to promote bagel sales impacted earnings. The bagel production line at the Company's Rotherham plant was impacted by an oven fire in the first quarter of 2008, and increased promotion and investment in the first quarter of 2009 was required to restore demand for bagels to historical levels. In the first quarter of 2009, the Company received insurance proceeds of $1.7 million (recorded in other income) to cover business interruption losses and operating impacts resulting from the oven fire in 2008. No further material insurance proceeds are anticipated in 2009 in respect of this event.

Gross Margin

Gross margin increased from 17.0% last year to 18.4%, reaching $75.9 million compared to $65.2 million last year, driven by price increases implemented in 2008 to cover inflationary costs, and better sales mix. However, margin expansion was mitigated by the weakening of the Canadian dollar which increased the Canadian price of wheat and offset the benefit of decreasing wheat prices in U.S. dollars. During the quarter, packaging and other ingredient costs were higher than last year.

Selling General & Administrative Expenses

Selling, general and administrative expenses increased by 19.4% to $54.5 million compared to $45.7 million in the first quarter of 2008, as various marketing and promotion initiatives were undertaken to support the launch of new products or promotional activities in the Fresh Bakery and pasta operations.

Other Income

Other income for the quarter was $1.8 million (2007: nil), which was primarily comprised of insurance proceeds received to cover business interruption losses resulting from the oven fire at the U.K. Bakery in 2008.

Restructuring and Other Related Costs

During the first quarter of 2009, the Company recorded a charge for restructuring and other related costs of $0.6 million ($0.4 million after tax) related to the closure and decommissioning of a bagel facility in Toronto, Ontario, and a small bakery operation in the U.K. late in 2008. In the first quarter of 2008, the Company recorded $1.3 million in restructuring and other related costs ($0.9 million after tax) primarily in respect of the closure of a bagel facility in Toronto, Ontario.

Taxes

The Company's effective tax rate increased to 29.3% in the first quarter of 2009 from 26.2% last year. The change in effective tax rate is due to the impact of earnings attributable to jurisdictions with different tax rates, and restructuring and other related costs recorded during the quarter at a tax rate of 30.5%.

Cash Flow and Financing

Total debt, net of cash balances, was $11.8 million at the end of the first quarter, compared to $1.7 million as at December 31, 2008 and $87.4 million at the end of the first quarter of 2008. The increase from the beginning of the year was principally due to a seasonal increase in working capital offset by earnings for the quarter.

Cash flow from operating activities was $7.1 million for the first quarter compared to $0.6 million in the prior year period. The improvement is the result of a lower investment in working capital compared to the same period last year and an increase in net earnings.

Historically, the Company generates a significant amount of operating cash flow that has adequately covered financing needs related to operational capital expenditures and restructuring costs. These operating cash flows provide a strong base of underlying liquidity, which the Company has supplemented with credit facilities to provide longer-term funding and surplus liquidity.

At March 31 2009, the Company and its subsidiaries had aggregate credit facilities of $291.3 million (2008: $290.3 million), of which $38.9 million (2008: $106.1 million) was utilized, including $9.8 million in respect of letters of credit (2008: $8.9 million). The Company's principal facility is subject to certain financial covenants. As at March 31, 2009, the Company was in compliance with all of its financial covenants.

The Company is exposed to fluctuations in the prices of raw materials, seasonal and other market-related price changes, particularly wheat costs. Due to the sales volumes and rapid turnover of inventories, the impact of these price fluctuations is generally short term. When commodity price increases are significant, it can increase the funding required for investments in working capital. These working capital requirements will be funded from operating cash flow and existing credit facilities. Management is of the opinion that its operating cash flow and existing credit facilities provide the Company with sufficient resources to finance ongoing business requirements and its planned capital investment program. In the normal course of business, the Company is exposed to credit risk from its customers, substantially all of which are in the grocery and foodservice markets. The

Company performs ongoing credit evaluations of new and existing customers' financial condition and reviews the collectibility of its trade and other accounts receivable in order to mitigate any possible credit losses. The Company maintains an allowance for uncollectible accounts that represents its estimate of uncollectible amounts. The components of this allowance include a provision related to specific losses estimated on individually significant exposures and a provision based on historical trends of collections. There are no impaired receivables that have not been provided for in the allowance for uncollectible accounts. Based on the above assumptions, as at March 31, 2009, the Company believes that the allowance for uncollectible accounts sufficiently covers any credit risk related to past due or impaired accounts receivable balances.

Interest expense for the first quarter decreased to $1.5 million compared to $1.8 million last year. The variance was as a result of lower average debt balances compared to the previous year.

Capital expenditures on plant and equipment for the first quarter were $14.8 million compared to $8.6 million last year. The increase in capital expenditure was mainly driven by higher maintenance costs, investments in equipment to support innovation and continuing investment in the new bagel line at the Roanoke bakery plant in Virginia.

Summary of Quarterly Results

The following is a summary of unaudited quarterly financial information for the five interim periods ended March 31, 2009 (in thousands of dollars except per share information):

		First Quarter	Second Quarter	Third Quarter	Fourth Quarter	Total
Sales	**2009**	**$ 413,125**				**$ 413,125**
	2008	382,869	$ 437,418	$ 443,086	$ 444,957	1,708,330
Net earnings	**2009**	**$ 14,882**				**$ 14,882**
	2008	12,211	$ 6,538	$ 19,727	$ 26,460	64,936
Earnings per share						
Basic and diluted EPS	**2009**	**$ 0.59**				**$ 0.59**
	2008	0.48	$ 0.26	$ 0.77	$ 1.04	2.55
Adjusted EPS [1] [2]	**2009**	**$ 0.60**				**$ 0.60**
	2008	0.52	$ 0.30	$ 0.93	$ 1.13	2.87

(1) *Basic earnings per share adjusted for the impact of restructuring and other related costs.*

(2) *Does not add due to rounding.*

For an explanation and analysis of quarterly results, refer to Management's Discussion & Analysis for each of the respective quarterly periods filed on SEDAR and also available on the Company's website at www.canadabread.ca.

Changes in Accounting Policies

Effective January 1, 2009, the Company adopted Emerging Issues Committee Abstract 173, "Credit Risk and the Fair Value of Financial Assets and Financial Liabilities" ("EIC 173"). EIC 173 requires the Company to take into account the Company's own credit risk and the credit risk of the counterparty in determining the fair value of financial assets and financial liabilities, including derivative instruments. The adoption of EIC 173, which was adopted on a retrospective basis without restatement of prior periods on January 1, 2009, did not have a material impact on the Company's financial statements.

In 2008, the CICA issued Handbook Section 3064, "Goodwill and Intangible Assets" ("CICA 3064"). CICA 3064, which replaces Section 3062, "Goodwill and Intangible Assets", and Section 3450, "Research and Development Costs", establishes standards for the recognition, measurement and disclosure of goodwill and intangible assets. The Company adopted this standard on a retrospective basis on January 1, 2009. The adoption of the new standard did not have a material impact on the Company's financial statements.

Disclosure Controls and Internal Control Over Financial Reporting

There have been no changes in the Company's internal control over financial reporting during the period beginning on January 1, 2009 and ended on March 31, 2009 that have materially affected, or are reasonably likely to materially affect, its internal control over financial reporting.

International Financial Reporting Standards

For fiscal years beginning on or after January 1, 2011, Canadian public companies will be required to prepare their financial statements in accordance with International Financial Reporting Standards ("IFRS"). The Company will issue its financial statements in the first interim quarter in 2011 in accordance with IFRS including comparative data for 2010.

In order to meet the requirement of transition to IFRS the Company has established an enterprise-wide project team and formed a steering committee. The Company's transition plan is comprised of three phases; initial diagnostic assessment, design, and implementation. The Company is currently in the process of finalizing the initial assessment of the impact of the adoption of IFRS. Changes in accounting policies upon adoption of IFRS are likely and may materially impact the Company's consolidated financial statements.

Other Matters

On April 28, 2009, Canada Bread Company, Limited declared a dividend of $0.06 per share payable on July 2, 2009 to shareholders of record on June 5, 2009. Unless indicated otherwise, by the Company, in writing at or before the time the dividend is paid, each dividend paid by the Corporation in 2009 or a subsequent year is an eligible dividend for the purposes of the "Enhanced Dividend Tax Credit System".

Forward-Looking Statements

This document contains, and the Company's oral and written public communications often contain, forward-looking statements that are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates and beliefs and assumptions made by the management of the Company. Such statements include, but are not limited to, statements with respect to objectives and goals, as well as statements with respect to beliefs, plans, objectives, expectations, anticipations, estimates and intentions. Specific forward looking statements in this document include, but are not limited to, statements concerning the impact of the economic downturn on the Company's results, the impact of recently adopted accounting pronouncements and the potential impact of the adoption of IFRS. Words such as "expect", "anticipate", "intend", "attempt", "may", "will", "plan", "believe", "seek", "estimate", and variations of such words and similar expressions are intended to identify such forward-looking statements. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict.

In particular, these forward-looking statements are based on a variety of factors and assumptions that are discussed throughout this document. In addition, expectations concerning the performance of the Company's business in general is based on a number of factors and assumptions including, but not limited to: the condition of the Canadian, United States and United Kingdom economies; the rate of exchange of the Canadian dollar to the U.S. dollar; the availability and prices of raw materials, energy and supplies; product pricing; the availability of insurance; the competitive environment and related market conditions; improvement of operating efficiencies; continued access to capital; the cost of compliance with environmental and health standards; no adverse results from ongoing litigation; no unexpected actions of domestic and foreign governments and the general assumption that none of the risks identified below or elsewhere will materialize. All of these assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party sources. These

assumptions may prove to be incorrect in whole or in part. In addition, actual results may differ materially from those expressed, implied or forecasted in such forward-looking statements, which reflect the Company's expectations only as of the date hereof.

Factors that could cause actual results or outcomes to differ materially from the results expressed, implied or forecasted in such forward-looking statements include, among other things:

- the risks associated with changes in the Company's shared systems and processes;
- the Company's exposure to currency exchange risks;
- the ability of the Company to hedge against the effect of commodity price changes through the use of commodity futures and options;
- the risks associated with a consolidating retail environment;
- the risks posed by food contamination, consumer liability and product recalls;
- the risks posed by compliance with extensive government regulation;
- the impact of changes in consumer tastes and buying patterns;
- the impact of extensive environmental regulation and potential environmental liabilities;
- the risks associated with complying with differing employment laws and practices globally and the potential for work stoppages due to non-renewal of collective agreements;
- the impact on pension expense and funding requirements of fluctuations in the market prices of fixed income and equity securities and changes in interest rates
- the risks related to the creditworthiness of customers to whom the Company extends credit;
- the impact of international events on commodity prices and the free flow of goods; and
- the risks associated with the Company's outstanding indebtedness.

The Company cautions the reader that the foregoing list of factors is not exhaustive. These factors are discussed in more detail under the heading "Risk Factors" in the Company's Management's Discussion and Analysis for the year ended December 31, 2008 and are updated each quarter in the Management's Discussion and Analysis, which are available on SEDAR at www.sedar.com. The reader should review such section in detail. The Company does not intend, and the Company disclaims any obligation to update any forward-looking statements, whether written or oral, or whether as a result of new information, future events or otherwise except as required by law.

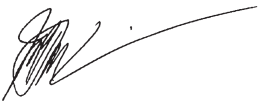
Additional information concerning the Company, including the Company's Annual Information Form, is available on SEDAR at www.sedar.com.

Canada Bread Company, Limited, 89.8% owned by Maple Leaf Foods Inc., is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company employs approximately 8,500 people at its operations across North America and in the U.K.

For the Board of Directors,



Richard A. Lan
President and Chief Executive Officer



Michael H. McCain
Chairman
April 28, 2009

Consolidated Balance Sheets

In thousands of Canadian dollars	As at March 31, 2009	As at March 31, 2008	As at December 31, 2008
	(Unaudited)	*(Unaudited)*	
ASSETS			
Current assets			
Cash and cash equivalents	**$ 10,826**	$ —	$ 11,721
Accounts receivable (Note 3)	**57,619**	80,649	57,079
Due from Maple Leaf Foods Inc.	**2,500**	—	54
Inventories	**59,761**	55,753	58,696
Future tax asset – current	**5,612**	19,059	5,388
Prepaid expenses and other current assets	**5,663**	5,364	12,923
	$ 141,981	$ 160,825	$ 145,861
Property and equipment	**417,381**	411,323	417,150
Goodwill	**406,573**	402,806	404,484
Other intangible assets	**20,045**	13,787	17,451
Other long-term assets	**10,298**	9,503	9,964
	$ 996,278	$ 998,244	$ 994,910
LIABILITIES AND SHAREHOLDERS' EQUITY			
Current liabilities			
Bank indebtedness	**$ 8,875**	$ 10,457	$ 8,894
Accounts payable and accrued charges	**184,014**	177,346	207,928
Due to Maple Leaf Foods Inc.	**—**	5,226	—
Dividends payable	**1,525**	1,525	1,525
Income and other taxes payable	**9,186**	23,102	10,860
Current portion of long-term debt	**36**	76,900	41
	$ 203,636	$ 294,556	$ 229,248
Long-term debt	**13,730**	—	4,477
Future tax liability – non-current	**36,402**	34,105	36,043
Other long-term liabilities	**17,006**	13,825	16,802
Shareholders' equity (Note 5)	**725,504**	655,758	708,340
	$ 996,278	$ 998,244	$ 994,910

See accompanying Notes to the Consolidated Financial Statements.

Consolidated Statements of Earnings

In thousands of Canadian dollars, except share amounts *(Unaudited)*	Three months ended March 31, 2009	2008
Sales	**$ 413,125**	$ 382,869
Cost of goods sold	**337,266**	317,671
Gross margin	**$ 75,859**	$ 65,198
Selling, general and administrative expenses	**54,509**	45,654
Earnings from operations before the following:	**$ 21,350**	$ 19,544
Restructuring and other related costs (Note 7)	**(573)**	(1,273)
Other income	**1,770**	34
Earnings before interest and income taxes	**$ 22,547**	$ 18,305
Interest expense	**1,493**	1,758
Earnings before income taxes	**$ 21,054**	$ 16,547
Income taxes	**6,172**	4,336
Net earnings	**$ 14,882**	$ 12,211
Basic and diluted earnings per share	**$ 0.59**	$ 0.48
Weighted average number of shares (millions)	**25.4**	25.4

See accompanying Notes to the Consolidated Financial Statements.

Consolidated Statements of Comprehensive Income

In thousands of Canadian dollars *(Unaudited)*	Three months ended March 31, 2009	2008
Net earnings	**$ 14,882**	$ 12,211
Other comprehensive income (Note 6)	**3,794**	10,029
Comprehensive income	**$ 18,676**	$ 22,240

See accompanying Notes to the Consolidated Financial Statements.

Consolidated Statements of Retained Earnings

In thousands of Canadian dollars, except share amounts *(Unaudited)*	Three months ended March 31, 2009	2008
Retained earnings, beginning of period	**$ 587,163**	$ 528,327
Net earnings	**14,882**	12,211
Dividends declared ($0.06 per share; 2008: $0.06 per share)	**(1,525)**	(1,525)
Retained earnings, end of period	**$ 600,520**	$ 539,013

See accompanying Notes to the Consolidated Financial Statements.

Consolidated Statements of Cash Flows

In thousands of Canadian dollars *(Unaudited)*	Three months ended March 31, **2009**	2008
CASH PROVIDED BY (USED IN):		
Operating activities		
Net earnings	**$ 14,882**	$ 12,211
Add (deduct) items not affecting cash:		
Depreciation and amortization	**14,077**	12,819
Future income taxes	**76**	927
Loss (gain) on sale of property and equipment	**192**	(15)
Asset impairments and change in provision for restructuring and other related costs	**(540)**	742
Other	**(643)**	1,512
Change in non-cash operating working capital	**(20,993)**	(27,620)
Cash provided by operating activities	**$ 7,051**	$ 576
Financing activities		
Dividends paid	**$ (1,525)**	$ (1,525)
Net increase (decrease) in long-term debt	**9,248**	(30,748)
Settlement of cross currency interest rate swap with Maple Leaf	**—**	80,586
Cash provided by financing activities	**$ 7,723**	$ 48,313
Investing activities		
Additions to property and equipment	**$ (14,842)**	$ (8,628)
Proceeds from sale of property and equipment	**392**	15
Acquisition of businesses – net of cash acquired (Note 9)	**—**	(43,536)
Change in intangible assets	**37**	(199)
Other	**(1,237)**	—
Cash used in investing activities	**$ (15,650)**	$ (52,348)
Decrease in cash and cash equivalents	**$ (876)**	$ (3,459)
Net cash and cash equivalents, beginning of period	**2,827**	(6,998)
Net cash and cash equivalents, end of period	**$ 1,951**	$ (10,457)

See accompanying Notes to the Consolidated Financial Statements.

1. THE COMPANY

Canada Bread Company, Limited ("Canada Bread" or the "Company") and its subsidiaries operate in the bakery industry across North America and internationally. Its principal business is the manufacture and sale of bakery and pasta products, including fresh bread, rolls, bagels and par-baked bread. Canada Bread is 89.8% owned by Maple Leaf Foods Inc. ("Maple Leaf") as at March 31, 2009.

2. SIGNIFICANT ACCOUNTING POLICIES

The unaudited interim consolidated financial statements should be read in conjunction with the annual consolidated financial statements for the year ended December 31, 2008. These unaudited interim consolidated financial statements have been prepared in accordance with Canadian generally accepted accounting principles using the same accounting policies as were applied in the consolidated financial statements for the year ended December 31, 2008, except for the following:

Accounting changes

(i) Effective January 1, 2009, the Company adopted Emerging Issues Committee Abstract 173, "Credit Risk and the Fair Value of Financial Assets and Financial Liabilities" ("EIC 173"). EIC 173 requires the Company to consider the Company's own credit risk and the credit risk of the counterparty in determining the fair value of financial assets and financial liabilities, including derivative instruments. The adoption of EIC 173, which was adopted on a retrospective basis without restatement of prior periods on January 1, 2009, did not have a material impact on the Company's financial statements.

(ii) In 2008, the CICA issued Handbook Section 3064, "Goodwill and Intangible Assets" ("CICA 3064"). CICA 3064, which replaces Section 3062, "Goodwill and Intangible Assets", and Section 3450, "Research and Development Costs", establishes standards for the recognition, measurement and disclosure of goodwill and intangible assets. The Company adopted this standard on a retrospective basis on January 1, 2009. The adoption of the new standard did not have a material impact on the Company's financial statements.

3. ACCOUNTS RECEIVABLE

Under a revolving securitization program, the Company has sold certain of its trade accounts receivable to financial institutions. The Company retains servicing responsibilities and retains a limited recourse obligation for delinquent receivables. At March 31, 2009, trade accounts receivable being serviced under this program amounted to $70.0 million (2008: $70.0 million).

4. Financial Instruments and Risk Management Activities

The Company is exposed to credit risk, liquidity risk and market risks that include interest rate risk, foreign exchange risk and commodity price risk. The Company has policies for managing these risks that are aligned with its overall objective to maintain a simple and cost effective capital structure that supports a long-term growth strategy and maximizes operating flexibility. There have been no material changes to the Company's risk and risk management activities since December 31, 2008.

The Company applies hedge accounting and uses derivatives and other non-derivative financial instruments to manage its exposures to fluctuations in interest rates, foreign exchange rates and commodity prices. The fair values and notional amounts of derivative financial instruments by hedge type at March 31 are shown below:

	2009			2008		
	Notional	**Fair Value**		Notional	Fair Value	
	Amount	**Asset**	**Liability**	Amount	Asset	Liability
Cash flow hedges						
Interest rate swaps	**$70,000**	**$ —**	**$ 9,940**	$70,000	$ —	$ 5,060
Foreign exchange forward contracts [(i)]	**$26,071**	**242**	**—**	US$5,500	—	81
Derivatives not in a formal hedging relationship						
Foreign exchange forward contracts	**$1,964**	**$ 32**	**$ —**		$ —	$ —
Total		**$ 274**	**$ 9,940**		$ —	$ 5,141
Current		**$ 274**	**$ 2,448**		$ —	$ 1,337
Non-current		**—**	**7,492**		—	3,804
Total		**$ 274**	**$ 9,940**		$ —	$ 5,141

(i) *Notional amounts are stated at the contractual Canadian dollar equivalent.*

The carrying value of long-term debt as at March 31, 2009 is $13.8 million which approximates fair value.

During the quarter, the Company recorded a gain of $0.1 million net of taxes on financial instruments held for trading. Net gains (losses) on financial instruments held for trading consist of realized and unrealized gains (losses) on derivatives which were de-designated or were otherwise not in a formal hedging relationship.

For the quarters ended March 31, 2009 and 2008, the amount of hedge ineffectiveness recognized in earnings was not material.

5. Shareholders' Equity

Shareholders' equity consists of the following:

	As at March 31,	
	2009	2008
Share capital	**$ 142,965**	$ 142,965
Retained earnings	**600,520**	539,013
Accumulated other comprehensive loss (Note 6)	**(17,981)**	(26,220)
	$ 725,504	$ 655,758

6. Accumulated Other Comprehensive Loss

Accumulated other comprehensive loss consists of the following:

	Three months ended March 31,	
	2009	2008
Balance at the beginning of the period	**$ (21,788)**	$ (36,249)
Adoption of new accounting standard (Note 2(i))	**13**	—
Adjusted balance at the beginning of the period	**$ (21,775)**	$ (36,249)
Change in accumulated foreign currency translation adjustment – net [(i)]	**3,438**	11,698
Change in unrealized derivative loss on cash flow hedges – net [(ii)]	**356**	(1,669)
Other comprehensive income for the period	**$ 3,794**	$ 10,029
Balance at end of the period	**$ (17,981)**	$ (26,220)

(i) *Change in accumulated foreign currency translation adjustment is after income taxes of $nil for the three months ended March 31, 2009 (2008: $nil).*

(ii) *Change in unrealized derivative loss on cash flow hedges is after income taxes of $0.1 million for the three months ended March 31, 2009 (2008: $0.9 million).*

The Company estimates that $1.6 million of net derivative losses included in accumulated other comprehensive loss will be reclassified into net earnings within the next 12 months. The actual amount of this reclassification will be impacted by future changes in the fair value of financial instruments designated as cash flow hedges and the actual amount reclassified could differ from this estimated amount. During the quarter, a loss of approximately $0.4 million (net of tax of $0.2 million) was charged to income from accumulated other comprehensive loss and is included in the net change for the period.

7. Restructuring and Other Related Costs

During the first quarter of 2009, the Company recorded a charge for restructuring and other related costs of $0.6 million ($0.4 million after-tax) related to ongoing costs of the closure and decommissioning of a bagel facility in Toronto, Ontario, and a small bakery operation in the U.K.

During the first quarter of 2008, the Company recorded restructuring and other related costs of $1.3 million ($0.9 million after-tax), the majority of which are related to the closure of a bagel facility in Toronto, Ontario.

The following table provides a summary of the costs recognized and cash payments made in respect of these restructuring and other related initiatives in 2009 as well as the related liability:

	Severance	Site Closing	Total
Balance at December 31, 2008	**$ 1,137**	**$ 2,956**	**$ 4,093**
Charges	379	194	573
Cash payments	(595)	(519)	(1,114)
Balance at March 31, 2009	**$ 921**	**$ 2,631**	**$ 3,552**

8. Pensions

During the quarter, the Company recorded $3.1 million related to net benefit plan expense (2008: $2.5 million).

9. Acquisitions

On January 29, 2008, the Company acquired the shares of Aliments Martel Inc. ("Martel"), a leading manufacturer and distributor of sandwiches, meals and sweet goods based in Quebec for an initial purchase price of $44.6 million plus contingent consideration of up to $22.6 million, based on financial performance over three years post-acquisition. During 2009, the Company finalized the purchase equation allocating $15.4 million to the identifiable net tangible assets of Martel at the acquisition date and $29.2 million to goodwill and intangible assets. The acquired intangible assets include $1.5 million allocated to trademarks that are being amortized on a straight-line basis over ten years and $1.7 million allocated to customer relationships that are being amortized on a straight-line basis over 20 years.

10. Supplemental Cash Flow Information

	Three months ended March 31,	
	2009	2008
Net interest paid	**$ 1,420**	$ 1,677
Net income taxes paid	**7,502**	9,397

11. Segmented Financial Information

The Company's operations are classified into two primary business segments, which have been used for the operating segment disclosures for all years presented:

(a) Fresh Bakery includes fresh bakery products, sweet goods, sandwiches and specialty fresh pasta and sauces.

(b) Frozen Bakery includes North American and U.K. frozen bakery products including frozen par-baked and specialty bakery products.

	Three months ended March 31,	
(Unaudited)	**2009**	2008
Sales		
Fresh Bakery	**$ 263,003**	$ 237,224
Frozen Bakery	**150,122**	145,645
	$ 413,125	$ 382,869
Earnings from operations before restructuring and other related costs and other income		
Fresh Bakery	**$ 12,818**	$ 12,689
Frozen Bakery	**8,532**	6,855
	$ 21,350	$ 19,544
Capital expenditures		
Fresh Bakery	**$ 5,728**	$ 1,568
Frozen Bakery	**9,114**	7,060
	$ 14,842	$ 8,628
Depreciation and amortization		
Fresh Bakery	**$ 7,148**	$ 6,380
Frozen Bakery	**6,929**	6,439
	$ 14,077	$ 12,819

	As at March 31,		As at December 31,
	2009	2008	2008
	(Unaudited)	*(Unaudited)*	
Total assets			
Fresh Bakery	**$ 442,703**	$ 428,432	$ 440,733
Frozen Bakery	**524,853**	521,649	523,843
Non-allocated assets	**28,722**	48,163	30,334
	$ 996,278	$ 998,244	$ 994,910
Goodwill			
Fresh Bakery	**$ 156,264**	$ 156,056	$ 156,268
Frozen Bakery	**250,309**	246,750	248,216
	$ 406,573	$ 402,806	$ 404,484



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